WELLS FARGO
INVESTMENT INSTITUTE

Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Positives and Negatives

November 7, 2018

Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index:
+2.4%

Key takeaways

- *The stock market continues to debate the positives and negatives of economic and headline news, sometimes on a daily basis.*
- *The recent equity volatility is likely to continue. Stay invested and look for opportunities.*

Last Friday's employment report told an interesting story. Based on the history that this strategist has experienced over the last 35-plus years of watching the markets, it is rare indeed when one sees the economy immersed in a combination of above-average growth, below-average inflation, and an unemployment rate that is at a multi-decade low. In fact, it might seem hard to believe for some, but the rate of unemployment is the lowest since Neil Armstrong took "one small step for a man, one giant leap for mankind." That was 1969 for you market participants who are not also history buffs. To even the casual observer, it doesn't appear that the September employment report could be construed as anything but good—especially when you take into account that there are currently more job openings in the United States than there are unemployed workers. And on top of all that, average hourly earnings ratcheted up 3.1% over the last 12 months, the best reading since mid-2009.

That good (or even great) employment report was layered on top of what appears to be a whiff of positive news on the U.S./China trade front. Namely, Chinese President Xi and President Trump will meet behind closed doors at the G-20 (Group of 20) meeting scheduled at the end of this month (November 30-December 1) in Buenos Aires, Argentina. This "G" meeting brings together leaders from the (approximately) 20 largest economies in the world. We have argued that an agreement will likely be hammered out between the U.S. and China at some point down the road but the negotiations will take time and not be easy. That continues to be our stance.

Last Friday's market trading action was a good example of the kind of debates the equity market has been having in recent months. On one hand is the improving labor market and the hope that the United States will avoid an all-out trade war by eventually coming to an agreement with China. Clearly, those outcomes would be good for consumer discretionary spending and the volume of global trade. But on the other hand, the market is very sensitive to robust employment data that might result in falling margins (due to higher wages) and a Federal Reserve that gets more nervous about the potential for inflation and an overheating economy. The S&P 500 traded to the highs of the day shortly after the opening bell and then spent the rest of the session deciding that the employment report might be a little too good for comfort. Remember, we have been recommending that investors root for "good" economic data, not "great." At this point in the cycle, investors could easily interpret great economic news as prompting more Fed rate hikes than the market currently expects, and that would be bad for stocks, in our opinion.

So we believe stocks are likely to continue to weigh the positives and negatives of each bit of economic data and headline news that comes across the tape on a daily basis. The recent volatility is likely to continue. But we see more positives than negatives in the quarters ahead. Our best equity advice? Stay invested and look for opportunities.

Investment and Insurance Products: ▶ NOT FDIC Insured ▶ NO Bank Guarantee ▶ MAY Lose Value

© 2018 Wells Fargo Investment Institute. All rights reserved.

Risks Considerations

Each asset class has its own risk and return characteristics. The level of risk associated with a particular investment or asset class generally correlates with the level of return the investment or asset class might achieve. **Stock markets**, especially foreign markets, are volatile. Stock values may fluctuate in response to general economic and market conditions, the prospects of individual companies, and industry sectors. **Foreign investing** has additional risks including those associated with currency fluctuation, political and economic instability, and different accounting standards. These risks are heightened in emerging markets.

General Disclosures

Global Investment Strategy (GIS) is a division of Wells Fargo Investment Institute, Inc. (WFII). WFII is a registered investment adviser and wholly owned subsidiary of Wells Fargo Bank, N.A., a bank affiliate of Wells Fargo & Company.

The information in this report was prepared by Global Investment Strategy. Opinions represent GIS' opinion as of the date of this report and are for general information purposes only and are not intended to predict or guarantee the future performance of any individual security, market sector or the markets generally. GIS does not undertake to advise you of any change in its opinions or the information contained in this report. Wells Fargo & Company affiliates may issue reports or have opinions that are inconsistent with, and reach different conclusions from, this report.

The information contained herein constitutes general information and is not directed to, designed for, or individually tailored to, any particular investor or potential investor. This report is not intended to be a client-specific suitability analysis or recommendation, an offer to participate in any investment, or a recommendation to buy, hold or sell securities. Do not use this report as the sole basis for investment decisions. Do not select an asset class or investment product based on performance alone. Consider all relevant information, including your existing portfolio, investment objectives, risk tolerance, liquidity needs and investment time horizon.

Wells Fargo Advisors is registered with the U.S. Securities and Exchange Commission and the Financial Industry Regulatory Authority, but is not licensed or registered with any financial services regulatory authority outside of the U.S. Non-U.S. residents who maintain U.S.-based financial services account(s) with Wells Fargo Advisors may not be afforded certain protections conferred by legislation and regulations in their country of residence in respect of any investments, investment transactions or communications made with Wells Fargo Advisors.

Wells Fargo Advisors is a trade name used by Wells Fargo Clearing Services, LLC and Wells Fargo Advisors Financial Network, LLC, Members SIPC, separate registered broker-dealers and non-bank affiliates of Wells Fargo & Company. CAR 1118-00901

© 2018 Wells Fargo Investment Institute. All rights reserved.